FINANCE COURSE

MINOR PROJECT

TREND ANALYSIS OF GOLD PRICES AND ITS IMPACT ON INVESTMENT DECISIONS IN INDIA

A study based on published research and secondary information

SUBMITTED BY

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Note: The project is prepared using secondary information from the research papers and the World Gold Council report listed in the bibliography. No primary survey or new statistical test is claimed.

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I also thank the World Gold Council for publishing useful information about the Indian gold market and recent demand trends. These reports helped me understand how price movements can influence jewellery demand and investment demand.

I am grateful to my institution, family members, friends and everyone who directly or indirectly supported me in completing this project. Their encouragement and support helped me organise the information and complete the work successfully.

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INTRODUCTION

1.1 Meaning and Background

Gold is one of the most familiar assets in India. It is purchased for jewellery, family functions, savings and investment. Many households consider gold a store of value and an asset that can be passed from one generation to another. Gold also has an important role in the Indian financial market because its price responds to both domestic demand and international market conditions.

The price of gold does not remain constant. It changes over time due to factors such as inflation, interest rates, movements in the Indian rupee, global uncertainty, investor expectations and demand during festivals and wedding seasons. Therefore, studying the trend of gold prices helps investors understand market behaviour before making investment decisions.

1.2 Gold as an Investment

People invest in gold in different forms. Physical gold includes jewellery, coins and bars. Financial forms include Gold Exchange Traded Funds (Gold ETFs) and other gold-linked products. Physical gold is familiar and can be held directly, but the buyer should consider purity, making charges, storage and resale conditions. Gold ETFs allow investors to gain exposure to gold prices without storing physical gold, but they involve market, fund and transaction-related risks.

1.3 Meaning of Trend Analysis

Trend analysis means studying past movements in a value over time to identify a general direction or pattern. In this project, trend analysis refers to understanding the historical movement of gold prices and the findings of published studies. It does not mean that a new price series has been independently collected or a forecasting model has been newly estimated by the student.

1.4 Impact on Investment Decisions

When gold prices rise sharply, investors may expect further gains, but new purchases can become expensive. Some buyers may postpone purchases or buy smaller quantities. When prices fall, some investors may see an opportunity to buy, while others may wait because they expect further declines. Price trends can therefore influence the timing, amount and form of gold investment. However, a past trend or forecast cannot guarantee future returns.

INTRODUCTION (CONTINUED)

1.5 Forms of Gold Investment in India

Investors and households can obtain exposure to gold through more than one form. Physical gold includes jewellery, coins and bars. Jewellery is often purchased for personal and cultural use, while coins and bars are more directly linked to saving and investment. Physical gold must be stored safely, and the buyer should consider purity, making charges, resale terms and the difference between the purchase and selling price.

Gold Exchange Traded Funds (ETFs) are market-linked investment products that aim to track the price of gold. They allow investors to participate in gold price movements without keeping gold at home. Investors should understand the fund expenses, trading liquidity, tracking difference and market risks. Digital gold platforms may provide small-ticket access, but buyers should review the provider, ownership terms, storage arrangements and applicable charges before using them.

1.6 Why Gold Price Trends Matter

A trend gives investors a broad view of how prices have moved over a period. It can help them compare price changes across months or years and understand whether recent movements are part of a longer pattern. However, a trend is not a promise that prices will continue in the same direction. Gold prices may rise or fall when economic conditions, currency values, interest-rate expectations or global events change.

Price changes can affect both the amount invested and the form selected. When prices are high, a household may reduce the quantity of gold purchased or postpone a jewellery purchase. An investor seeking market exposure may compare physical gold with Gold ETFs. When prices fall, some investors may consider buying, but they should also consider whether the decline reflects temporary conditions or a change in market expectations.

1.7 Focus and Basis of This Project

This Minor Project studies the connection between gold price trends and investment decisions in India. It is based on a review of two research papers and the World Gold Council's India Focus Q3 2026 report. The Indian MCX study is used to understand the historical gold price trend and the ARIMA forecasting method. The COMEX paper is used only as a comparison of gold and silver volatility in international futures markets. The recent World Gold Council report provides current Indian demand and price context.

The project is a secondary-data review. It does not claim to include a new questionnaire, interviews, a fresh statistical model or independently collected market prices. Therefore, the conclusions are limited to the information reported in the sources reviewed.

ANALYSIS AND INTERPRETATION

Indian gold price trend and time-series study

3.1 Indian Gold Price Data

Maity and Majumder (2026) studied monthly gold bullion prices in India using secondary data obtained from MCX. The stated observation period is January 2004 to November 2024, and the paper reports 251 observations. The researchers standardised the different quantities and calculated the price per 10 grams for the analysis. This long period allows the study to examine the historical direction of gold prices rather than looking at only a few months.

3.2 Box-Jenkins and ARIMA Method

The authors applied the Box-Jenkins time-series approach. First, they checked whether the price series was stationary. The Augmented Dickey-Fuller and Phillips-Perron tests indicated that the series was non-stationary at level but became stationary after first differencing. The study therefore treated the series as integrated of order one, or I(1).

The researchers used the Autocorrelation Function (ACF) and Partial Autocorrelation Function (PACF) to identify the model components. They compared ARIMA (1,1,1), ARIMA (1,1,0) and ARIMA (0,1,1). The paper selected ARIMA (1,1,1), based on the reported coefficient significance and model-selection procedures.

3.3 Model Checks and Accuracy

The study reports diagnostic checks using the Ljung-Box Q-statistic and tests for heteroskedasticity. The reported results did not indicate autocorrelation or heteroskedasticity in the residuals. The authors also report that the residuals were stationary. The model's reported Mean Absolute Percentage Error (MAPE) is 2.74%. The Theil's Inequality Coefficient is 0.001836. These figures are results reported by the original researchers; they have not been recalculated for this project.

3.4 Historical Forecast Reported in the Paper

The paper presents a dynamic forecast for December 2024 to April 2025. The forecast values below are reproduced from the paper and are expressed as the estimated gold price per 10 grams.

Forecast month	Dynamic forecast (₹ per 10 grams)
December 2024	76,877.82
January 2025	77,741.48
February 2025	78,412.61
March 2025	79,218.95
April 2025	79,950.56

Interpretation: The forecast path shown in the original paper rises across these five months. It is evidence of the direction estimated by that model at that time only. Since the forecast period has already passed, it must not be presented as a prediction for 2026 or 2027.

ANALYSIS AND INTERPRETATION

Market factors and investment decisions

4.1 Recent Indian Market Evidence

The World Gold Council's India Focus Q3 2026 report, published on 3 November 2026, shows that Indian gold demand strengthened compared with the previous quarter, while high prices continued to affect the quantity purchased. Q3 demand was reported at 162 tonnes, up 24% quarter-on-quarter but 29% lower year-on-year. The value of demand reached ₹2,419 billion, up 3% year-on-year. The average domestic gold price was ₹148,891 per 10 grams, 45% higher year-on-year.

The report also shows differences between jewellery and investment demand. Bar and coin demand was 55 tonnes in Q3 2026, while Gold ETF demand was 5.3 tonnes, compared with 3.6 tonnes in Q2 2026. This suggests that Indian consumers and investors continued to spend significant amounts on gold, even though elevated prices affected the volume of gold purchased.

4.2 Factors Affecting Gold Prices

- Inflation: When the purchasing power of money falls, some investors look at gold as a way to preserve value.
- Interest rates: Changes in interest rates can alter the relative attraction of gold compared with interest-bearing investments.
- Rupee and currency movements: A weaker rupee can increase the domestic cost of imported gold, even when the international price does not change by the same amount.
- Global uncertainty: Geopolitical tension and financial uncertainty can increase demand for assets viewed as stores of value.
- Seasonal demand: Festivals and wedding seasons can increase jewellery purchases and influence short-term demand.
- Investor preferences: Greater access to Gold ETFs and digital platforms has widened the ways in which people can obtain gold exposure.

4.3 Comparative Gold and Silver Volatility

Archana S.'s SSRN working paper studies COMEX gold and silver futures using 834 aligned daily observations from 19 January 2022 to 16 March 2026. Its abstract reports cumulative returns of approximately 177% for gold and 244% for silver. It reports annualised volatility of 20.08% for gold and 43.40% for silver, and a gold-relative silver beta of 1.41. These international futures figures are not Indian retail gold returns. They are useful only to show that silver was more volatile than gold in the period studied.

Interpretation for investors: A rising price trend may attract investment, but higher prices can reduce affordability. Gold may be chosen for diversification or wealth preservation, while investment timing and the form of investment should reflect risk tolerance, time horizon and the possibility of price declines.

FINDINGS

The following findings are drawn from the research papers and secondary market report reviewed for this project. They are the student's interpretation of those sources and are not results from a new survey.

- Gold has both cultural importance and financial value in India. It is used for jewellery, savings and investment.
- The Indian MCX study examined monthly gold price data from January 2004 to November 2024 and reported 251 observations.
- The gold price series was found to be non-stationary at level and stationary after first differencing in the tests reported by Maity and Majumder.
- The Indian study selected ARIMA (1,1,1) as its preferred model after comparing three ARIMA specifications.
- The model recorded a reported MAPE of 2.74% and Theil's Inequality Coefficient of 0.001836 in the original study.
- The original model forecast an increase in gold prices from December 2024 to April 2025. This is a historical forecast period, not a current prediction.
- The World Gold Council's Q3 2026 report indicates that high domestic prices can increase the value of gold demand while reducing the quantity purchased.
- Indian gold investment demand includes physical bars and coins as well as Gold ETFs. The relative demand for these forms can change over time.
- The COMEX working paper reports higher annualised volatility for silver than for gold during its selected 2022-2026 study period. This illustrates the importance of comparing risk, not only returns.
- Gold price movements are connected with economic conditions, currency movements, international uncertainty, seasonal demand and changing investor preferences.

Overall Interpretation

The reviewed sources show that gold can play a role in an investment portfolio, but its price is not stable or guaranteed to rise. Investors should consider both the direction of prices and the risk of volatility. A decision based only on one forecast or a recent price increase may lead to an unsuitable investment choice.

SUGGESTIONS / RECOMMENDATIONS

Based on the reviewed studies and the student's understanding of the topic, the following suggestions may help individuals make more careful gold investment decisions:

- Fix an investment purpose: Decide whether gold is being purchased for jewellery, long-term savings, diversification or short-term trading. The purpose should guide the form and time horizon of the investment.
- Avoid investing the entire amount at one price: Consider dividing planned purchases over time. This can reduce dependence on a single buying date, although it cannot guarantee a profit.
- Understand the form of gold: Before buying jewellery, check purity, hallmarking, making charges and resale terms. For Gold ETFs, read the scheme documents and understand expenses, tracking difference, liquidity and market risk.
- Diversify investments: Gold should be considered as one part of a broader financial plan. Avoid placing all savings in one asset or borrowing heavily to purchase gold.
- Follow important market factors: Observe inflation, interest-rate changes, rupee movements, global events and domestic seasonal demand. These factors can affect the domestic price and the timing of purchases.
- Use forecasts carefully: Forecast models such as ARIMA can help explain historical patterns, but an old forecast must not be treated as a current price target. Unexpected events can change the market.
- Be cautious with futures and leverage: Commodity futures can involve large price movements and margin requirements. They may not be suitable for inexperienced or risk-averse investors.
- Keep records and review risk: Maintain purchase records and review the investment periodically against the original goal, available funds and ability to tolerate losses.

These recommendations are general educational suggestions. They are not personalised financial advice, and each investor should consider their own financial position and risk capacity before investing.

CONCLUSION

This project examined the trend of gold prices and their impact on investment decisions in India through a review of published research and recent secondary information. Gold continues to be important to Indian households because of its cultural role and its use as a savings and investment asset. However, the market price changes in response to domestic and international conditions.

The Indian study by Maity and Majumder (2026) used monthly MCX data from January 2004 to November 2024 and selected the ARIMA (1,1,1) model. The authors reported a MAPE of 2.74% and an increasing historical forecast for December 2024 to April 2025. These findings show how time-series methods can help examine historical patterns, but the forecast period is already over and cannot be used as a present-day prediction.

The recent World Gold Council report shows that Indian gold demand can remain valuable in monetary terms even when high prices reduce the quantity purchased. The international COMEX paper also highlights that precious metals may differ in volatility, with silver showing greater volatility than gold in the period studied. Together, these sources show that investment decisions should consider price movement, risk, affordability and the form of gold investment.

The main conclusion is that gold can be considered as one component of a balanced investment plan, but it should not be treated as a guaranteed source of profit. Investors should understand market factors, compare available investment forms, diversify their savings and avoid decisions based only on short-term price movements. Careful planning and awareness are essential for responsible investment decisions.

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Source Note

All model statistics, historical forecast values and COMEX comparative figures in this project are attributed to the original authors. The latest India market figures are attributed to the World Gold Council Q3 2026 report. The student has not claimed to collect primary data or independently run statistical software.